

Amendment No. 1 to HB0348

White
Signature of Sponsor

AMEND Senate Bill No. 614

House Bill No. 348*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 49-3-314(c), is amended by adding the following as a new subdivision:

(5)

(A) Notwithstanding another law to the contrary, for fiscal year 2025-2026 and each subsequent fiscal year, if a local government adopts a budget that includes the maintenance of local funding effort required under this section but fails to appropriate or allocate the full amount budgeted to the LEA, then the local government shall first appropriate and allocate the unfunded portion to the LEA before it may increase its maintenance of funding effort for any of the following:

- (i) The county mayor's office, pursuant to § 5-9-408;
- (ii) The sheriff's office, pursuant to § 8-20-120;
- (iii) The highway department, pursuant to § 67-3-901(d); or
- (iv) The election commission, pursuant to § 2-12-209.

(B) Funds appropriated under subdivision (c)(5)(A) to correct a local funding shortfall must be considered a nonrecurring expenditure under subdivision (c)(4). The maintenance of local funding effort required for a fiscal year following a year in which the local government failed to appropriate or allocate the full budgeted amount to the LEA is determined based on the amount budgeted for the previous fiscal year, rather than the amount actually appropriated or allocated.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.